

VOLUNTEER INCOME TAX ASSISTANCE (VITA) PROGRAM

Tax Return Summary, Tax Year 2025

Prepared by a VITA Volunteer, Grace Episcopal Church, Portland, Maine

Taxpayer: Joanne M. Lawton
SSN on File: Redacted per IRS safe-handling protocol
Date of Birth: December 3, 1950
Address: 47 Atlantic Street, Portland, Maine 04101
Phone: (207) 555-0134
Email: joanne.lawton@Greenridertech.co
Filing Status: Single
Preparation Date: January 28, 2026
Volunteer Preparer: VITA Certified Volunteer (IRS EFIN 44-92813)
Return Type: Federal Form 1040 and Maine Individual Income Tax Return (Form 1040-ME)

INCOME SUMMARY

Income Type	Amount (\$)	Notes
Social Security Benefits (Box 5, SSA-1099)	22,200.00	\$1,850 per month x 12
Taxable Portion of Social Security	18,870.00	85 percent inclusion; provisional income exceeds \$34,000
Pension Income (Form 1099-R, Dayspring)	28,800.00	\$2,400 per month x 12; fully taxable
Self-Employment Income (herbalist), net profit	3,189.00	Gross receipts \$3,810 minus \$621 supplies
Gross Herbalist Receipts	3,810.00	Total donations received during 2025
Self-Employment Tax (Schedule SE)	450.59	On net self-employment income of \$3,189
Deduction for Half of Self-Employment Tax	225.30	Reduces Adjusted Gross Income
ADJUSTED GROSS INCOME	50,633.70	

DEDUCTIONS

Deduction Type	Amount (\$)	Notes
Standard Deduction (single, age 75)	17,000.00	\$15,000 base plus \$2,000 additional for age 65 and older
Itemized Deductions (calculated for comparison)		
Mortgage interest	0.00	Mortgage paid off 2005; no deduction
State and local taxes (SALT)	2,800.00	Property tax; below the \$10,000 SALT cap
Medical expenses over 7.5 percent of AGI	0.00	Total medical below the threshold
Charitable contributions (Grace Episcopal)	3,900.00	\$3,600 tithe plus \$300 in-kind
Total Itemized	6,700.00	Well below the standard deduction
STANDARD DEDUCTION TAKEN	17,000.00	More favorable than itemized
TAXABLE INCOME	33,633.70	AGI \$50,633.70 minus standard deduction \$17,000

TAX CALCULATION: FEDERAL

Bracket	Taxable Range	Rate	Tax (\$)
10 percent	\$0 to \$11,600	10%	1,160.00
12 percent	\$11,600 to \$33,633.70	12%	2,644.04
TOTAL FEDERAL INCOME TAX			3,804.04

FEDERAL TAX, PAYMENTS, AND BALANCE

Plus Self-Employment Tax: \$450.59
TOTAL FEDERAL TAX BEFORE CREDITS: \$4,254.63
Senior Tax Credit (Schedule R): Not applicable (income exceeds threshold)
Child or dependent credits: Not applicable
Total Credits: \$0.00
TOTAL FEDERAL TAX DUE: \$4,254.63

Withholding and Estimated Payments	Amount (\$)
Federal income tax withheld from pension (Dayspring)	3,960.00
Federal income tax withheld from Social Security	0.00 (voluntary withholding declined)
Estimated tax payments made during the year	0.00 (none made)
TOTAL PAYMENTS	3,960.00

FEDERAL BALANCE DUE: \$294.63

Payment is due with the return. Pay online at IRS.gov or by check payable to the U.S. Treasury.

Note from the VITA preparer: Consider requesting voluntary withholding from Social Security (Form W-4V) to reduce the balance due at filing. Withholding \$100 to \$150 per month from the Social Security benefit would eliminate most of this balance going forward.

MAINE STATE INCOME TAX SUMMARY

Maine Calculation	Amount (\$)
Maine Adjusted Gross Income	50,633.70
Maine Standard Deduction (single)	25,500.00
Maine Taxable Income	25,133.70
Maine State Tax Due (at applicable rates)	1,201.03
Maine Income Tax Withheld from Pension	1,020.00
MAINE BALANCE DUE	181.03

TOTAL AMOUNTS DUE

Federal Tax Balance Due: \$294.63
Maine State Balance Due: \$181.03
TOTAL DUE WITH FILING: \$475.66

Both returns were prepared for timely filing for tax year 2025.

NOTES AND RECOMMENDATIONS

1. Herbalist income is reported as self-employment. The \$621 spent on Mountain Rose Herbs orders is deducted as a business expense. Joanne should keep receipts for all herb and supply purchases each year.
2. Pension withholding: Dayspring Medical Center currently withholds \$3,960 annually, about \$330 per month. This is close to but slightly below what is needed. Consider requesting an additional \$50 per month in withholding on Form W-4P.
3. Social Security: No current withholding. Voluntary withholding at 12 percent would equal approximately \$222 per month, which would more than cover the federal balance.
4. Karen Lawton-Mitchell is listed as the family contact for financial review. A copy of this summary has been provided to the taxpayer.
5. Savings and investment income: Interest from the Seacoast FCU savings account (approximately \$200 for 2025) and the Vanguard account (if distributions were made; confirm with the Vanguard statement) should be reported in future years if applicable. No 1099-INT or 1099-DIV forms were reported to VITA for 2025. Confirm with Joanne for the next filing year.

Prepared with IRS Form 1040 (tax year 2025) and Maine Form 1040-ME. Copies provided to the taxpayer. Return e-filed January 28, 2026. Acknowledgment from IRS: pending (e-file confirmation typically within 24 to 48 hours).
VITA Site: Grace Episcopal Church, 72 Pine Street, Portland, Maine 04101